DAY 3 · MID-SESSION EXERCISE 4

The guardrail decision

Format: single-select chain · Time: **7 minutes** · Answer in the chat

> **Recap.** The acceptance bar comes from what a wrong answer costs. A hold on the risky action lowers the damage, which lowers the bar, which can make an already-built model shippable.

ENOUGH RIGHT ANSWERS PAY FOR ONE WRONG ONE

RIGHT	RIGHT	RIGHT	RIGHT	WRONG
+ save	+ save	+ save	+ save	- cost

```
rights per wrong = cost of wrong / saving of right
bar = 1 - 1 / (rights per wrong + 1)
```

The 1-in-N bar. Compute rights per wrong, then the bar.

The codeshare-rebooking agent

> A model decides routes across partner airlines.
> **One right answer saves $8** of handling.
> **One wrong answer costs $48**: a wrong reissue, a refund, and a service credit.
> The team measures the model at **82% correct** on the codeshare slice.

4a. What acceptance bar does this agent have to clear?

- a 50%
- b 80%
- c 86%
- d 90%

4b. At 82% measured, does it clear the bar?

- e Yes, ship it
- f No, it is below the bar

4c. The team adds a hold: a person approves any codeshare reissue before it is charged. A wrong answer now costs only the $8 of wasted handling. What is the new bar?

- g 40%
- h 50%
- i 60%

j 75%

4d. At 82% measured, does it clear the new bar?

k Yes, the hold made it shippable

l No, it is still below

How to answer. Type all four, for example `4a-c 4b-f 4c-h 4d-k`.